

outline a proposal, typically written by a thought leader or someone knowledgeable on a topic. As it relates to cryptoassets, a white paper is the stake in the ground, outlining the problem the asset addresses, where the asset stands in the competitive landscape, and what the technical details are.

Satoshi outlined Bitcoin in his white paper, and since then most creators of cryptoassets have followed the same process. Some of these white papers can be highly technical, though at the very least, perusing the introduction and conclusion is valuable. White papers can often be found on the website created for the cryptoasset.

VAGUENESS IS NOT YOUR FRIEND

A cryptoasset white paper may include a lot of technical information and be difficult to read all the way through. Many times, the team developing the cryptoasset will have a website that has a brief description of what the asset intends to do and how it intends to do it. Even if not everything described is understood, if the description lacks specificity and seems intentionally vague, that may be a sign to avoid the asset. Investors should feel comfortable briefly explaining the asset in some manner to a friend who may or may not be knowledgeable on the subject. If the investor can't do that, it may be appropriate to consider a different cryptoasset.

DECENTRALIZATION EDGE